

United States of America. The United States had the most innovators. The most new high-tech startups. The most applications and computers. The most capital invested in the new industry. The most educated, technically literate, well-financed people in the world. They also had the slickest capital markets, ready to grease as much money as possible toward a promising new company.

So what happened? Computer power doubled every 18 months from the mid-1990s to deep into the 2000s. Entrepreneurs concocted all manner of apps to take advantage of it. Billions of dollars were invested. Fortunes were made. And what did this florescence of new technology achieve? In terms of economic growth? Nothing. The real GDP of the United States grew insignificantly during the entire first decade of the twenty-first century. No—or very few—new jobs were added. No apparent wealth was created. The average person earned no more money. Nor did he possess greater wealth. Millions of people were happily distracting themselves with video games and tweets, but no gains were recorded for the economy—or its people.

Why?

We're suggesting that the kind of growth the United States saw in the nineteenth and twentieth centuries was anomalous. New technology—including something as important as oil—obeys the laws of economics. And one of those laws tells us that new technology, whatever it is, eventually arrives at declining rates of return. It is subject to the rule of declining marginal utility, in other words. The first inputs produce huge gains in output. Later inputs produce only incremental gains. Then, if the cost of the additional inputs rise, they may produce no net gain at all. A new technology or innovation or discovery or even a new method of organizing existing resources brings results—but not unlimited results. In the case of the human story, each new source of energy has been exploited, and then economic growth rates have fallen. Perhaps to zero.

Let's say you look back at when the bow and arrow was invented. It probably enabled primitive hunters to get more game with less caloric cost. Rather than run the rabbit down, they waited, pulled back the bowstring, and then they could walk over to collect the immobile animal. Thus, they could support more people. So the human population grew. Perhaps in a